

GCE A LEVEL
A520U10-1 (Predicted – Hard)

ECONOMICS – A level Component 1
Economic Principles

1 hour 30 minutes

ADDITIONAL MATERIALS

A calculator.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

Write your name, centre number and candidate number in the spaces at the top of this page.

Answer all questions.

Write your answers in the spaces provided. If you run out of space, use the additional pages at the back of the booklet, taking care to number the question(s) correctly.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

For Examiner's use only

Question	Maximum Mark	Mark Awarded
1–20	20	
21.	4	
22.	7	
23.	4	
24.	8	
25.	8	
26.	9	
Total	60	

Answer all questions.

SECTION A

For each question in Section A, write the letter (A, B, C, D or E) that corresponds to your answer in the box provided.

You are advised to spend approximately 30 minutes on this section.

1. In a perfectly competitive market, a firm is currently earning supernormal profit. According to theory, in the long run: **[1]**

- A** New firms will enter, supply will rise and the firm's profits will fall to zero economic profit
- B** The firm will cut output to raise price and maintain its supernormal profit
- C** The firm will raise price to maintain profits as new entrants join
- D** Existing firms will collude to block new entrants
- E** The firm will make a loss as cost curves shift upwards

Answer: _____

2. A firm's total cost function is $TC = 100 + 20Q + 0.5Q^2$. At output level $Q = 20$, the marginal cost is: **[1]**

- A** £20
- B** £30
- C** £40
- D** £50
- E** £60

Answer: _____

3. Which of the following is the most likely to cause a movement along the Phillips curve (rather than a shift of it)? **[1]**

- A** A fall in the natural rate of unemployment due to improved labour market flexibility
- B** A rise in inflation expectations following a permanent supply shock
- C** A short-term expansionary monetary policy
- D** Stricter trade union legislation
- E** Lower structural unemployment from improved training

Answer: _____

4. A monopsony employer sets wages below the competitive market equilibrium. If a minimum wage is imposed above the monopsony's current wage but below the competitive equilibrium wage, the effect will be: **[1]**

- A** Unemployment rises, wages rise
- B** Employment rises, wages rise
- C** Employment falls, wages fall
- D** Employment is unchanged, wages rise
- E** Employment rises, wages are unchanged

Answer: _____

5. The Gini coefficient for country X falls from 0.45 to 0.38. This indicates that: **[1]**

- A** Average incomes have risen
- B** The Lorenz curve has moved further from the line of equality
- C** Income inequality has decreased
- D** GDP has grown

E The wealthiest 10% now hold a larger share of total income

Answer: _____

6. The chart shows an economy's M4 money supply (£tn) and the Bank Rate (%): **[1]**

Year	M4 (£tn)	Bank Rate (%)
2020	2.6	0.10
2021	2.8	0.10
2022	2.9	1.00
2023	2.95	4.25
2024	2.92	5.00

Which of the following provides the best explanation for the pattern shown?

- A** Higher interest rates have increased the money multiplier
- B** Higher interest rates have reduced the demand for loans, slowing broad money growth
- C** The central bank has engaged in quantitative easing
- D** The government has cut taxes
- E** The central bank has cut reserve requirements

Answer: _____

7. Sticky wages in the short run would be most consistent with which of the following? **[1]**

- A** A perfectly elastic short-run aggregate supply curve
- B** A vertical long-run aggregate supply curve
- C** A vertical short-run aggregate supply curve
- D** An upward-sloping short-run aggregate supply curve
- E** A downward-sloping short-run aggregate supply curve

Answer: _____

8. A good has $PED = -0.3$ and $YED = +0.2$. If prices rise by 10% and incomes rise by 5% simultaneously, the total effect on quantity demanded will be approximately: **[1]**

- A** +4% increase
- B** -2% decrease
- C** +1% increase
- D** -4% decrease
- E** -5% decrease

Answer: _____

9. An economy has nominal GDP of £2,000bn in year 1 and £2,080bn in year 2. Inflation over the period is 5%. Real GDP has: **[1]**

- A** Risen by 4%
- B** Risen by 1%
- C** Fallen by 1%
- D** Remained unchanged
- E** Fallen by 4%

Answer: _____

10. Natural monopolies are typically characterised by: **[1]**

- A High marginal costs and low fixed costs
- B Constant returns to scale across all output levels
- C A long-run average cost curve that is still falling at the output level required to satisfy market demand
- D Perfectly elastic supply curves
- E High cross-price elasticity with substitutes

Answer: _____

11. The 'paradox of thrift' refers to the idea that: [1]

- A Individual saving always increases national wealth
- B High savings cause high inflation
- C If all households try to save more, aggregate saving may actually fall due to lower aggregate demand
- D Saving and investment must always be equal
- E Thrift reduces long-run growth by lowering capital accumulation

Answer: _____

12. A price discriminating monopolist separates the market into two sub-markets. For profit maximisation, the firm should set prices such that: [1]

- A Marginal revenue is equal in both markets and equal to marginal cost
- B Price is the same in both markets
- C Price elasticity of demand is identical in both markets
- D Total revenue is maximised in each market
- E The firm sells the same quantity in both markets

Answer: _____

13. The diagram shows a Lorenz curve for two economies, X and Y: [1]

	Share of income held by bottom 50%	Share held by top 10%
Economy X	18%	39%
Economy Y	25%	28%

Which of the following statements is correct?

- A Economy X is more equal than Economy Y
- B The Gini coefficient of Economy Y is higher than that of Economy X
- C The Lorenz curve of Economy X lies closer to the line of perfect equality
- D Economy Y has a lower Gini coefficient than Economy X
- E Income inequality is identical in the two economies

Answer: _____

14. Crowding out is most likely to occur when: [1]

- A The economy has substantial spare capacity and interest rates are at the zero lower bound
- B The economy is near full employment and government borrowing drives up interest rates
- C The central bank engages in aggressive quantitative easing
- D The marginal propensity to consume is very high
- E Taxes are cut in a deep recession

Answer: _____

- 15.** If the Marshall-Lerner condition holds, a depreciation of a country's currency will, in the long run: **[1]**
- A Worsen the current account
 - B Leave the current account unchanged
 - C Improve the current account
 - D Cause a surplus on the capital account
 - E Reduce import prices in domestic currency
- Answer:** _____
- 16.** Which of the following is a valid criticism of using GDP per capita to compare living standards between countries? **[1]**
- A It ignores the black / informal economy, environmental degradation and income distribution
 - B It adjusts for differences in price levels between countries
 - C It weights output by its contribution to welfare
 - D It includes household production and volunteer work
 - E It includes negative externalities as a deduction from output
- Answer:** _____
- 17.** A kinked demand curve in oligopoly predicts that: **[1]**
- A Firms will frequently change their prices
 - B Firms will always engage in price wars
 - C Prices will tend to be rigid because firms fear that price increases will not be matched while price cuts will be
 - D Non-price competition is ineffective
 - E Firms colluding openly can always achieve the monopoly outcome
- Answer:** _____
- 18.** Liquidity trap conditions exist when: **[1]**
- A Interest rates are very low and further monetary easing fails to stimulate aggregate demand
 - B Bond yields exceed the rate of inflation
 - C Households hold too little cash
 - D Reserve requirements are binding
 - E Banks run out of liquid assets to sell
- Answer:** _____
- 19.** A country maintains a fixed exchange rate above the market-clearing rate. Which of the following is most likely to result? **[1]**
- A A rise in foreign reserves as the central bank buys up excess foreign currency
 - B An excess supply of the domestic currency that must be absorbed using foreign reserves
 - C A spontaneous market correction towards equilibrium
 - D An automatic surplus on the current account
 - E A reduction in domestic inflation
- Answer:** _____
- 20.** The Laffer curve implies that: **[1]**
- A Tax revenue always rises as tax rates rise
 - B Tax cuts always pay for themselves by boosting revenues
 - C There is a rate of taxation that maximises tax revenue, beyond which further rate rises reduce revenue

- D** All governments should cut taxes
- E** Income taxes should always be lower than corporate taxes

Answer: _____

SECTION B

21. The charts below show (1) the US Federal Reserve's policy interest rate and (2) the USD/EUR exchange rate over the same period.

Chart 1 – Federal Reserve policy rate (%)

Jan 2022: 0.25 | Jun 2022: 1.75 | Dec 2022: 4.50 | Jun 2023: 5.25 | Dec 2023: 5.50 | Jun 2024: 5.50

Chart 2 – USD/EUR exchange rate (USD per 1 EUR)

Jan 2022: 1.13 | Jun 2022: 1.05 | Dec 2022: 1.07 | Jun 2023: 1.09 | Dec 2023: 1.10 | Jun 2024: 1.07

Using the data, explain the likely link between the two charts. **[4]**

22. The diagram below illustrates the effect of negative production externalities in a market for industrial goods, where $MSC > MPC$.

[Diagram: Demand curve $D = MSB$, Marginal Private Cost curve MPC , and Marginal Social Cost curve MSC above MPC . Market equilibrium Q_m (where $MPC = MSB$) exceeds social optimum Q_s (where $MSC = MSB$). A welfare loss triangle exists between MSC and MSB for output Q_s to Q_m .]

Using the diagram, discuss whether a carbon tax is the best policy response to industrial pollution.
[7]

23. Two rival airlines, NorthAir and SouthFly, are deciding whether to set a High or Low price on a competitive route. Neither knows the other's decision and their products are close substitutes. The payoff matrix (annual profits, £m) is:

		SouthFly	
		High price	Low price
NorthAir	High price	£80m, £80m	£30m, £110m
	Low price	£110m, £30m	£50m, £50m

Use the data to explain where the Nash equilibrium lies in this matrix and why collusion between the firms might be difficult to sustain. **[4]**

24. The chart and extract below describe UK economic conditions.

Chart 1 – UK CPI inflation (%) and unemployment rate (%)

2020: CPI 0.9%, Unemployment 4.6% | 2021: CPI 2.6%, Unemployment 4.6% | 2022: CPI 9.1%, Unemployment 3.7% | 2023: CPI 7.3%, Unemployment 4.0% | 2024: CPI 2.5%, Unemployment 4.4%

Extract:

UK inflation reached a 40-year high of 11.1% in October 2022, driven by soaring energy and food prices following the Russia–Ukraine conflict, and by post-pandemic supply bottlenecks. The Bank of England raised Bank Rate from 0.1% in late 2021 to 5.25% by August 2023 to bring inflation back to its 2% target. However, unemployment has remained historically low, and real wages have fallen for many workers.

Using the data, discuss whether the Phillips curve remains a useful framework for understanding the inflation-unemployment relationship in the UK. **[8]**

25. The table below provides 2022 HDI data for two countries, Saudi Arabia and Costa Rica.

	Classification	HDI	Life expectancy	Mean years schooling	Expected years schooling	GNI/capita (PPP \$)
Saudi Arabia	Very High	0.875	78.8	11.3	16.1	54,992
Costa Rica	Very High	0.806	77.3	8.8	16.2	23,909

Additional data: Gini coefficient – Saudi Arabia 0.459, Costa Rica 0.487. Gender Inequality Index (GII) – Saudi Arabia 0.569, Costa Rica 0.256.

Discuss whether the HDI alone is sufficient to conclude that Saudi Arabia has a higher level of development than Costa Rica. **[8]**

26. The chart and extract below provide information on global oil (Brent crude) prices.

Chart: Brent crude oil price (US\$ per barrel)

Jan 2022: 86 | Jun 2022: 123 | Dec 2022: 81 | Jun 2023: 75 | Dec 2023: 77 | Jun 2024: 82

Extract:

OPEC+ continues to restrict output in an attempt to stabilise prices, with Saudi Arabia announcing further voluntary cuts of 1 million barrels per day. Meanwhile, US shale oil producers have increased output significantly, reaching record levels of 13.2 million barrels per day.

On the demand side, the International Energy Agency forecasts that global demand for oil will peak by 2030 as electric vehicle adoption accelerates – over 17% of new car sales globally are now electric. However, demand from developing economies (particularly India and Southeast Asia) continues to grow strongly. Geopolitical tensions in the Middle East have added a risk premium to prices. A possible recession in major advanced economies may reduce industrial oil demand.

Using supply and demand diagram(s), discuss whether the data suggests that oil prices are more likely to rise or fall in the future. **[9]**

END OF PAPER